

Discussion 1. Exhibit 1 (A Case – Homework Handout)

Company A
For the year ended December 31, 2019

Account	Amount (\$ millions)	IS	BS	A	L	E
Accounts payable	1,363					
Accounts receivable	9,518					
Accrued expenses and other current liabilities	13,690					
Additional paid-in capital	45,851					
Cash, cash equivalents, and marketable securities	54,855					
Cost of revenue	12,770					
General and administrative expense	10,465					
Intangible assets	19,609					
Long-term liabilities	17,269					
Marketing and sales expense	9,876					
Other long-term assets	12,219					
Prepaid expenses and other current assets	1,852					
Property and equipment, net	35,323					
Research and development expense	13,600					
Retained earnings	55,203					
Revenue	70,697					
Tax and other expense	5,501					

Assignment: using the above information

- (1) check (✓) if the account relates to the Income Statement (IS) or Balance Sheet (BS)
- (2) for BS items, check (✓) if the account relates to Assets (A), Liabilities (L), or Equity (E)
- (3) construct the Income Statement and Balance Sheet for this firm, putting the accounts into proper order and using appropriate subtotals and headings